

## **LEASING**

Leasing is a financial arrangement in which one party (the lessee) pays another party (the lessor) for the use of an asset over a specified period. It is commonly used for acquiring equipment, vehicles, real estate, and other high-value assets without the need to purchase them outright.

### **Types of Leasing**

#### **a. Operating Lease:**

this is a short-term lease agreement where the lessor retains ownership of the asset and is responsible for its maintenance. It is characterized by the fact that it is typically shorter than the useful life of the asset and lease payments are considered operational expenses. Examples are Renting office space, vehicles, or equipment for short periods.

#### **b. Finance Lease (Capital Lease):**

This is a long-term lease where the lessee assumes most of the risks and benefits of ownership. Its characteristics is the lessee is responsible for maintenance and insurance, and the lease term often covers the majority of the asset's useful life. Examples of this are; Leasing machinery, vehicles, or real estate with the option to purchase at the end of the lease term.

**c. Leveraged Lease:** This involves three parties—the lessee, the lessor, and the lender. The lessor borrows a significant portion of the purchase price of the asset from the lender. The asset itself often serves as collateral for the loan.

**d. Sale and Leaseback:** In this arrangement, the owner of an asset sells it to another party and then leases it back for an extended period. This allows the original owner to free up capital while still retaining the use of the asset.

**e. Direct Lease:** The lessor purchases the asset directly from the manufacturer or supplier and leases it to the lessee.

### **Advantages of Leasing**

- a. Conserves Capital:** Leasing allows businesses to use high-value assets without significant upfront investment, preserving cash flow for other needs.
- b. Flexibility:** Leases can be structured to meet specific business needs, including terms, payments, and options to upgrade equipment.
- c. Tax Benefits:** Lease payments are often fully deductible as business expenses, reducing taxable income.
- d. Risk Management:** In operating leases, the lessor typically assumes the risk of obsolescence and residual value.

- e. Off-Balance-Sheet Financing: Operating leases do not appear as liabilities on the balance sheet, improving financial ratios.

#### **Disadvantages of Leasing**

- a. Higher Long-Term Costs: Over the entire lease term, leasing can be more expensive than purchasing the asset outright.
- b. Lack of Ownership: The lessee does not own the asset and may not benefit from any appreciation in its value.
- c. Commitment to Payments: The lessee is obligated to make regular lease payments, which can be a financial burden if the asset becomes obsolete or the business needs change.
- d. Maintenance and Compliance: In finance leases, the lessee is responsible for maintenance, insurance, and compliance with all terms of the lease.
- e. Limited Customization: Leased assets might come with restrictions on modifications, which can limit their usefulness for certain applications.

#### **Difference between operating lease and financial lease**

| Item                           | Operating lease                                                                                                  | Financing lease                                                                                                                                                                                    |
|--------------------------------|------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. Ownership</b>            | The lessor retains ownership of the asset. The lessee only has the right to use the asset for a specific period. | The lessee has the option to purchase the asset at the end of the lease term, or the lease term covers most of the asset's useful life, effectively transferring ownership benefits to the lessee. |
| <b>2. Lease Term</b>           | The lease term is shorter and usually less than the economic life of the asset.                                  | The lease term is longer and often matches or exceeds the economic life of the asset.                                                                                                              |
| <b>3. Accounting Treatment</b> | Lease payments are treated as operating expenses, and the asset is not recorded on the lessee's statement of     | The leased asset and corresponding liability are recorded on the lessee's statement of financial position..                                                                                        |

|                     |                                                                                                                 |                                                                                                        |
|---------------------|-----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
|                     | financial position                                                                                              |                                                                                                        |
| 4. Risk and Rewards | The lessor retains the risks and rewards associated with ownership.                                             | The lessee assumes most of the risks and rewards of ownership.                                         |
| 5. Cancellation     | The lease is often cancellable by the lessee with prior notice and sometimes with a penalty.                    | The lease is typically non-cancellable, committing the lessee to the lease payments for the full term. |
| 6.Usage             | Typically used for short-term needs or assets that require frequent updates, like office equipment or vehicles. | Used for long-term financing needs, such as for machinery, buildings, or other long-life assets.       |

i. **Hire Purchase**

Hire purchase is a financing arrangement in which an individual or business (the hirer) acquires an asset by making an initial down payment followed by regular installments over a specified period. During the hire period, the hirer has the use of the asset but does not own it until the final payment is made.

**Advantages of Hire Purchase**

i. Ownership at End of Term:

The hirer owns the asset after the final installment is paid, which is beneficial for long-term asset acquisition.

ii. Spread Payments:

The cost of the asset is spread over time, making it easier to manage cash flow and budget.

iii. Use of Asset:

The hirer can use the asset immediately without needing to pay the full purchase price upfront.

iv. Fixed Interest Rates:

Many hire purchase agreements have fixed interest rates, providing predictability in payment amounts.

v. Tax Benefits:

Businesses can often claim tax deductions on the interest component of the hire purchase payments and depreciation on the asset.

### **Disadvantages of Hire Purchase**

i. Higher Overall Cost

The total cost of the asset is usually higher than if it were purchased outright due to the interest charged over the hire period.

ii. Ownership Delayed:

The hirer does not own the asset until the final payment is made, which means they bear the risks of ownership without the benefits until then.

iii. Risk of Repossession:

If the hirer defaults on payments, the asset can be repossessed by the financier, leading to a loss of both the asset and the money already paid.

iv. Interest Rates:

Interest rates on hire purchase agreements can be higher compared to other forms of financing.

v. Commitment:

The hirer is committed to the payment schedule, which can be a financial burden if their financial situation changes.

vi. Depreciation Risk:

The hirer bears the depreciation risk. If the asset depreciates rapidly, the hirer may end up paying more than the asset's current value.